Press Release

[Insert company name] acquires SHOGI to bring authority infrastructure to agentic AI and autonomous systems

SHOGI's cryptographic proof of authority controls whether protected agent actions execute, combining post-quantum identity-based encryption, quorum approval, and deterministic execution.

Palo Alto, December 1st, 2027 — [Insert company name] today agreed to acquire SHOGI Systems, Inc., developer of SHOGI, a cryptographic **authorization** layer for AI agents, connected devices, and autonomous systems in mission-critical environments. SHOGI establishes proof of authority before execution, helping organizations control which actions these systems are permitted to take.

Within SHOGI's protected execution boundary, releasing a payment, changing a supplier's bank account, or pushing a software release requires valid cryptographic proof of authority and independent agent-quorum approval for that exact action, plus human approval for higher-risk actions. Verified authority is a prerequisite for execution—not an instruction the agent must follow.

AI agents are moving from answers to actions. Gartner forecasts agentic AI in 33% of enterprise software applications by 2028, up from under 1% in 2024, with at least 15% of daily work decisions made autonomously. It also predicts over 40% of agentic AI projects will be canceled by the end of 2027, partly for inadequate risk controls. Today's controls mostly watch and log, flagging fraudulent wires or bad releases after money leaves or builds reach production. Tricked, misconfigured, or compromised agents can act across systems at machine speed and edit records to hide their actions.

SHOGI controls actions before execution. Each agent's identity defines its job; its key works only for that job. Critical actions require approval by a quorum of independent agents, which verifies the required evidence before approving the exact action. Higher-risk actions also require human approval. Routine actions run within the identity's limits without waiting for approval. Approval is single-use and bound to the exact action: it cannot be reused or swapped. If any check fails, the action does not run.

Every SHOGI deployment begins with mission-assurance analysis using System-Theoretic Process Analysis for Security (STPA-Sec), developed by SHOGI advisor and STPA-Sec Integration Lead Dr. William "Dollar" Young as the security extension of MIT Professor Nancy Leveson's STPA methodology. It identifies unsafe workflow actions and conditions, translating unacceptable customer losses into rules before launch. These become Ordered Identities (patent pending): each agent's role, mission, authority tier, jurisdiction, allowed actions, and time window in a fixed order. The identity serves as the public key, and the corresponding private key is derived from it. Identity is policy: a tricked agent has no key for actions outside its authority.

SHOGI's Post-Quantum Identity-Based Encryption uses identity as the public key, eliminating separate certificates and permission lookups attackers could tamper with. Its lattice-based design and signcryption, which signs and encrypts each request in one step, are designed to resist future quantum attacks. Requests cannot be forged or altered; approvals and audit records remain trustworthy. The Identity Authority (PKG) issues keys from secure hardware, splitting its master secret among several key authorities so no single insider can grant additional authority.

At run time, the authorization gate rates every request for risk. Critical actions go to a quorum of independent agents, with additional human approval required for higher-risk actions; approvers must verify the required evidence before voting, enforcing separation of duties cryptographically—not

through a setting one person or agent can change. Only after all required checks and approvals does the gate issue single-use cryptographic approval for the exact action. On each protected system, a designated driver, a deterministic component that runs no AI and holds the real credentials, performs the exact action only with a valid, matching approval and signs a receipt; actions without valid, matching approval are refused; missing evidence, votes, or verification means denial. SHOGI complements existing access systems and records every request, vote, approval, refusal, revocation, and key recovery, giving auditors evidence that controls held, including blocked attempts.

[Insert company name] moved clients from AI experiments to enterprise deployment, with generative and agentic AI exceeding 10% of Q4 2025 bookings. Acquiring SHOGI adds authority infrastructure so agents take consequential actions only with valid authorization. SHOGI fits in four places:

Intelligent operations: binding agents run by [Insert company name] and WNS to SHOGI identities and human quorums lets clients delegate higher-stakes processes, including payments and supplier management.

- **Financial services:** [Insert company name]'s fastest-growing sector in 2025, at 22% of revenue and up 9.2% at constant exchange rates. Banks and insurers face the strictest expectations for controls over automated actions.
- **Engineering and software delivery:** Operations & Engineering, 29% of [Insert company name]'s revenue, includes engineering and R&D services. SHOGI governs releases and configuration changes where agents build, test, and release client software, including for software vendors.
- **Cybersecurity and AI governance:** SHOGI becomes a pre-execution control that [Insert company name]'s security and governance teams can design, deploy, and run for clients, alongside existing monitoring.

“SHOGI’s vision is simple. No agent should be able to take a consequential action unless it can prove it has the authority to do so, and that proof should hold up even against tomorrow's quantum computers. Joining [Insert company name] turns that vision into something the world’s largest organizations can trust and adopt now. *[Insert company name]'s teams already design and run the processes where agents are being put to work, in more than 50 countries. Together we can make proven authority the default for agentic AI everywhere, not just in a few early deployments”* - Bill Montgomery, CEO, SHOGI Systems, Inc.

“Our clients are moving agentic AI from pilots into processes that move money, ship software, and run operations, and they need proof those agents stay within their authority. The acquisition of SHOGI adds authority infrastructure that acts before an agent does, complementing the monitoring clients already have. Combined with [Insert company name]’s intelligent operations business and delivery teams, SHOGI can be deployed for clients across industries globally.”
- CEO [Insert company name]’s Group CEO

The transaction is expected to close in Q4 2027, subject to customary conditions and regulatory approvals. For more information visit Buyer.com/pressrelease/SHOGI or SHOGIsystems.com

FAQ

What are current customers saying about SHOGI?

"Our agents prepare thousands of payments a day. One scenario that kept us up at night was an agent being talked into changing a supplier's bank details and then marking its own callback as done. With SHOGI, an agent that proposes a change simply cannot verify it, and the payment system is guaranteed to not release funds to an account the quorum never approved. We moved from catching fraud after the money left to stopping it before it can." — Ms. Money Maker, Head of Treasury Operations, Bank

"We let agents build, test, and promote releases, which is great until one of them ships something nobody approved. SHOGI ties every production release to a single-use approval from our release quorum, with test evidence checked before humans or agents vote. A single agent can still do ninety percent of the work. It just cannot push to production on its own say-so. Since we implemented SHOGI we have been able to eliminate 100% of unauthorized releases" — Mr. Software Release, Vice President of Release Engineering, ISV

Who is SHOGI for? SHOGI is for organizations that need **proof** that an AI agent, device, or autonomous system is authorized to act. Use cases span enterprise AI, financial operations, software builds and releases, operational technology (OT), the Internet of Things (IoT), and physical AI, including robotics and autonomous machines. SHOGI is especially relevant where unauthorized actions could cause significant financial loss, disrupt critical operations, or endanger people.

How is this different from monitoring and logging tools? Monitoring and logging tools provide visibility into activity as it happens and after the fact. SHOGI determines whether a protected action is authorized before it can execute. The two are complementary: keep monitoring for visibility and use SHOGI to prevent high-consequence actions within its control boundary unless valid proof of authority is presented.

Do I have to replace my existing access and identity systems? No. Existing systems still control how an agent reaches a service. SHOGI controls whether a specific action is authorized. For protected actions, the target system, or a SHOGI checkpoint in front of it, only acts on a valid approval for that exact action. Agents no longer keep their own credentials for those actions.

What happens if an approver or voting seat is unavailable? An unavailable approver does not stop the action if the required quorum and any mandatory human approvals can still be obtained. If those requirements cannot be met, the action waits. SHOGI fails closed.

Can a compromised agent still cause harm? Only within the scope of its own identity, or in systems not wired to SHOGI. Anything outside its job, or above the risk threshold without a quorum, is refused and logged.

Why post-quantum cryptography now? Cryptographic systems deployed today must be **quantum-ready**. Approvals and audit records may need to remain trustworthy for years, so protection against

future quantum attacks must be designed in from the start. SHOGI's Post-Quantum Identity-Based Encryption uses lattice-based cryptography designed to resist those attacks.

Do I need to buy security hardware? No. SHOGI hosts the key infrastructure in its own secure hardware. Customers who want full control of a closed system can use their own hardware security modules (HSMs).

Can customers implement SHOGI themselves. For a financial institution, wiring the authorization gate means changing payment, release, and record systems so they refuse unapproved actions, work many customers may want help with. SHOGI has partnered with several system integrators serving multiple industries including banking and software-delivery practices, and security consultancies with STPA-Sec experience to support customers in their implementation if needed.

What does SHOGI not protect? Anything not wired through the gate. A direct database edit or bulk import outside the governed path stays open. SHOGI also verifies authority, not correctness: a properly authorized quorum can still approve a bad change.

Who else is working on authorization for AI agents? Many strong companies, and most of them handle a part of the problem SHOGI depends on. Identity providers and token services such as Okta/Auth0, Keycard, and Descope establish who an agent is and whom it acts for. Policy engines such as Cerbos, AuthZed (SpiceDB), and AWS Bedrock AgentCore Policy decide whether a request fits the rules. Gateways such as Arcade.dev, Permit.io, and Pomerium can check tool calls and keep upstream credentials away from agents. Tigera Lynx governs agent fleets through workload identity and policy enforcement. Secure runtimes and monitoring tools such as NVIDIA OpenShell with Claude Managed Agents, Rein Security, and Kontext Security contain agents and watch their behavior. SHOGI is designed to work with all of them.

How does SHOGI work with these companies? SHOGI does not replace identity providers, policy engines, gateways, or secure runtimes; it builds on them. An identity provider such as Okta or Keycard can say who an agent is. A policy engine such as Cerbos, Cedar, or SpiceDB can evaluate the rules. A runtime such as OpenShell can contain the agent. A gateway such as Arcade or Permit.io, which sits where agents act, can require a SHOGI approval before it runs a high-consequence call. SHOGI adds the final step: a single-use approval for one exact action, checked by the component that performs it, followed by a signed receipt that an auditor can verify without relying on SHOGI's word. A designated driver, a deterministic component that runs no AI and holds the real credentials, verifies the permit, required approvals, time window, and single-use status before performing the exact operation and signing a receipt. Customers keep the tools they already use and add proof of authority wherever an unauthorized action would be costly.

Is SHOGI competing with NVIDIA OpenShell and Claude Managed Agents? No. The two are complementary. NVIDIA and Anthropic provide a controlled environment for agents to run in: Anthropic keeps the agent's credentials in a vault the agent never sees, and NVIDIA's open-source OpenShell runtime checks every action against a deny-by-default policy and logs what it allows or blocks. SHOGI binds mission constraints, quorum and human approval, and execution into each protected action. OpenShell is a natural integration path for SHOGI.

What does SHOGI add that is not already available? Checking actions before they run, keeping credentials away from agents, and pausing for one person's approval are now common, and several of the companies above do all three well. SHOGI adds four things. Our review found no alternative publicly documented as delivering this complete combination in production: approval of an action by several

independent parties, in a form the executing system can check; a record of each approved action that an outside auditor can verify without trusting the vendor; authority bound into the agent's key, so an agent holds no key for actions outside its job; and lattice-based cryptography protecting authority itself, designed to resist future quantum attacks. Together, these let an organization prove that a specific action was authorized, at the point where it takes place.